



CO-OPERATIVE BANK

We are you

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P.O.Box 48231 – 00100 GPO Nairobi
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22nd May 2019

The Chief Executive,
Nairobi Securities Exchange
55 Westlands Road
P.O.Box 43633-00100
Nairobi.

Dear Sir,

**RE: THE CO-OPERATIVE BANK OF KENYA LIMITED-UN-AUDITED GROUP
FINANCIAL RESULTS FOR THE PERIOD ENDED 31ST MARCH 2019**

.....

Enclosed please find:-

- a) The Un-audited financial statements of Co-operative Bank and Group for the period ended 31st March 2019, together with the disclosures on earnings per share.
- b) The Un-audited statement on cash flows and changes in equity for the same period.

Please acknowledge receipt on the duplicate copy hereof.

Yours faithfully,

Samuel Kibugi
COMPANY SECRETARY
Encl.

Chief Executive Officer
Capital Markets Authority,
Embankment Plaza 3rd Floor,
Longonot Road, Upper Hill,
P.O.Box 74800-00200,
Nairobi

Directors: John Murugu (Chairman), Dr. Gideon Muriuki (Group Managing Director & CEO), M. Malonza (Vice Chairman), J. Sitienei, B. Simiyu, P. Githendu, W. Ongoro, R. Kimanthi, W. Mwambia, R. Simani (Mrs), L. Karissa, G. Mburia.

							
The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2019							
I	STATEMENT OF FINANCIAL POSITION	GROUP			BANK		
		31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	31-Mar-18 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	31-Mar-18 KSHS.'000 (Un-audited)
A	ASSETS						
1	Cash (local and foreign)	6,125,220	9,809,390	7,757,164	5,687,933	9,064,099	7,357,678
2	Balances due from Central Bank Of Kenya	19,572,813	22,669,211	15,392,322	19,572,813	20,820,071	15,392,322
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	1,069,155	-	748,935	-	-	150
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	71,145,373	49,701,030	49,216,079	70,991,001	49,544,242	49,059,913
a.b	Investment Securities: Held to Maturity- Other Securities	-	-	-	-	-	-
b.a	Investment Securities: Available for Sale- Kenya Government Securities	32,781,133	30,572,358	25,743,082	32,749,853	30,572,358	25,702,282
b.b	Investment Securities: Available for Sale- Other Securities	2,182,188	2,555,201	3,118,066	2,182,188	2,426,271	3,118,066
6	Deposits and balances due from local banking institutions	348,810	7,879,632	718,200	181,411	6,997,990	537,298
7	Deposits and balances due from banking institutions abroad	14,836,157	10,202,016	15,305,843	12,323,109	10,598,377	13,945,101
8	Tax recoverable	15,787	18,173	18,971	-	-	-
9	Loans and advances to customers (net)	251,628,561	245,410,302	252,825,045	249,798,926	243,546,383	251,218,576
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	2,181,456	2,161,475	2,214,296	955,118	755,118	755,118
12	Investments in subsidiary companies	-	-	-	2,512,920	2,512,920	2,512,920
13	Investment in joint ventures	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-
15	Property, plant and equipment	5,867,870	6,614,048	7,138,135	5,722,128	5,971,546	7,017,605
16	Prepaid lease rentals	35,232	35,132	36,964	35,232	35,132	36,964
17	Intangible assets	2,370,465	2,497,243	1,277,445	2,330,401	2,093,951	1,221,569
18	Deferred tax asset	3,195,079	2,944,937	1,107,323	3,129,344	3,129,344	1,084,911
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	12,318,962	20,343,067	15,175,553	11,826,102	20,235,823	14,465,505
21	TOTAL ASSETS	425,674,260	413,413,215	397,793,423	419,998,477	408,303,625	393,425,978
B	LIABILITIES						
22	Balances due to Central Bank Of Kenya	-	-	-	-	-	-
23	Customer deposits	317,770,079	306,117,046	295,883,527	315,177,831	303,753,161	294,063,823
24	Deposits and balances due to local banking institutions	1,586,886	443,260	3,935,535	1,586,886	839,621	3,935,535
25	Deposits and balances due to banking institutions abroad	564,556	-	111,410	564,556	-	111,410
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	23,731,554	23,949,611	20,654,136	23,731,554	23,949,611	20,654,136
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	1,790,242	321,453	1,201,254	1,735,946	294,555	1,101,206
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	6,056,246	11,364,739	7,318,497	5,183,307	11,147,659	6,545,996
34	TOTAL LIABILITIES	351,499,563	342,196,110	329,104,359	347,980,079	339,984,607	326,412,107
C	SHAREHOLDERS' FUNDS						
35	Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180
36	Share premium/(discount)	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925
37	Revaluation reserve	1,198,143	1,292,736	1,227,293	1,198,143	1,198,143	1,227,293
38	Retained earnings/ Accumulated losses	58,534,408	53,976,280	55,914,361	55,742,221	52,376,127	53,255,250
39	Statutory Loan Loss Reserve	935,514	1,013,587	-	935,514	935,514	-
40	Other Reserves	(1,968,141)	(526,771)	(2,142,969)	38,963	(298,942)	(417,268)
41	Proposed dividends	5,867,180	5,867,180	4,693,744	5,867,180	5,867,180	4,693,744
42	Capital grants	457,271	461,890	475,747	457,271	461,890	475,747
43	TOTAL SHAREHOLDERS' FUNDS	72,803,481	69,864,008	67,947,281	72,018,398	68,319,018	67,013,872
43.1	Non-Controlling Interest	1,371,216	1,353,098	741,783	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	425,674,260	413,413,215	397,793,423	419,998,477	408,303,625	393,425,978

II	STATEMENT OF COMPREHENSIVE INCOME	GROUP			BANK		
		31-Mar-19	31-Dec-18	31-Mar-18	31-Mar-19	31-Dec-18	31-Mar-18
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1.0	INTEREST INCOME						
1.1	Loans and advances	7,177,059	32,946,490	8,350,437	7,091,982	32,597,365	8,273,218
1.2	Government securities	2,785,925	9,789,407	1,996,143	2,762,316	9,769,263	1,981,744
1.3	Deposits and placements with banking Institutions	118,856	288,966	32,333	118,856	218,057	32,333
1.1	Other Interest Income	4,597	-	4,846	-	-	-
1.5	Total Interest Income	10,086,438	43,024,863	10,383,759	9,973,154	42,584,684	10,287,296
2.0	INTEREST EXPENSE						
2.1	Customer deposits	2,765,763	10,890,477	2,656,616	2,765,621	10,851,097	2,656,553
2.2	Deposits and placements from banking institutions	3,178	133,813	17,849	3,178	133,813	17,849
2.3	Other Interest Expenses	389,725	1,215,825	299,791	380,982	1,215,825	291,778
2.4	Total Interest Expenses	3,158,665	12,240,115	2,974,255	3,149,781	12,200,735	2,966,180
3	NET INTEREST INCOME/(LOSS)	6,927,772	30,784,748	7,409,504	6,823,373	30,383,949	7,321,116
4	NON- INTEREST INCOME						
4.1	Fees and commissions on loans and advances	542,034	575,852	403,819	542,034	575,852	403,819
4.2	Other Fees and commissions	2,877,061	8,941,686	2,154,937	2,458,056	7,569,878	1,816,890
4.3	Foreign exchange trading income/(loss)	637,826	2,284,887	752,784	596,073	2,052,864	718,924
4.4	Dividend income	-	83,288	-	-	83,288	-
4.5	Other income	131,792	1,007,790	204,351	116,401	879,936	198,927
4.6	Total Non-interest income	4,188,712	12,893,502	3,515,892	3,712,564	11,161,817	3,138,560
5.0	TOTAL OPERATING INCOME	11,116,485	43,678,250	10,925,395	10,535,937	41,545,767	10,459,676
6.0	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	501,454	1,840,728	762,843	494,992	1,825,313	750,000
6.2	Staff costs	2,783,907	11,449,964	2,636,866	2,647,650	10,953,108	2,517,121
6.3	Directors' emoluments	17,198	198,843	19,918	5,583	150,169	8,073
6.4	Rentals charges	430,220	1,711,800	422,282	395,176	1,602,542	392,888
6.5	Depreciation charge on property and equipment	342,726	1,817,946	423,068	336,383	1,612,198	419,935
6.6	Armortisation charges	110,545	562,938	134,554	106,592	489,001	130,821
6.7	Other operating expenses	1,837,847	8,110,316	1,698,691	1,740,857	7,326,679	1,613,925
6.8	Total other operating expenses	6,023,896	25,692,535	6,098,223	5,727,232	23,959,011	5,832,764
7	Profit/(Loss) before tax and exceptional items	5,092,588	17,985,715	4,827,172	4,808,705	17,586,756	4,626,912
8	Exceptional items-Early Retirement Costs	-	-	-	-	-	-
8	Exceptional items-Share of profit of associate	19,981	171,416	70,949	-	-	-
9	Profit/(Loss) before tax	5,112,569	18,157,131	4,898,121	4,808,705	17,586,756	4,626,912
10	Current tax	1,513,460	5,943,318	1,449,855	1,442,612	5,688,303	1,388,074
11	Deferred tax	-	(518,673)	-	-	(510,622)	-
12	Profit/(loss) after tax and exceptional items	3,599,109	12,732,487	3,448,266	3,366,094	12,409,075	3,238,838
13.0	OTHER COMPREHENSIVE INCOME:						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	338,305	253,869	204,346	337,905	326,672	208,346
13.3	Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	(39,609)	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	338,305	214,260	204,346	337,905	326,672	208,346
15	TOTAL COMPREHENSIVE INCOME	3,937,414	12,946,747	3,652,613	3,703,999	12,735,747	3,447,185
	Basic Earnings per share	0.61	2.18	0.59	0.57	2.11	0.55
	Diluted Earnings per share	0.61	2.18	0.59	0.57	2.11	0.55
	Dividend per share	-	1.00	-	-	1.00	-

III	OTHER DISCLOSURES	GROUP			BANK		
		31-Mar-19 KSHS,'000	31-Dec-18 KSHS,'000	31-Mar-18 KSHS,'000	31-Mar-19 KSHS,'000	31-Dec-18 KSHS,'000	31-Mar-18 KSHS,'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1	NON PERFORMING LOANS AND ADVANCES						
a)	Gross non-performing loans and advances	29,728,495	29,401,544	28,368,540	29,235,436	28,952,802	28,316,036
	Less	-	-	-	-	-	-
b)	Interest in suspense	4,627,035	4,199,519	764,444	4,597,934	4,199,519	764,297
c)	Total Non-performing loans and advances (a-b)	25,101,460	25,202,025	27,601,096	24,637,502	24,753,283	27,551,739
	Less	-	-	-	-	-	-
d)	Loan loss provisions	10,883,876	9,945,260	7,911,348	10,739,296	9,820,074	7,860,970
e)	Net Non performing loans (c-d)	14,217,584	15,256,765	19,689,748	13,898,206	14,933,209	19,690,769
f)	Discounted Value of Securities	13,146,665	13,797,738	14,375,631	13,146,665	13,797,738	14,300,697
g)	Net NPLs Exposure (e-f)	1,070,919	1,459,027	5,314,117	751,541	1,135,471	5,390,072
2	Insider loans and advances						
a)	Directors, shareholders and associates	2,308,869	2,396,946	1,874,459	2,308,869	2,396,946	1,874,459
b)	Employees	8,586,542	8,425,634	7,723,600	8,585,223	8,425,634	7,723,600
c)	Total insider loans, advances and other facilities	10,895,411	10,822,580	9,598,059	10,894,092	10,822,580	9,598,059
3	Off-Balance Sheet Items						
a)	Letters of credit, guarantees, acceptances	27,016,781	19,633,909	18,114,375	27,016,781	19,633,909	18,114,375
b)	Forwards, swaps and options	11,375,243	8,425,708	19,150,703	11,375,243	8,425,708	19,150,703
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total contingent liabilities	38,392,024	28,059,617	37,265,077	38,392,024	28,059,617	37,265,077
	Capital strength						
a)	Core capital	60,838,573	59,272,338	57,858,683	56,893,286	55,214,858	56,532,852
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)	59,838,573	58,272,338	56,858,683	55,893,286	54,214,858	55,532,852
d)	Supplementary capital	1,235,050	1,336,771	306,823	1,235,050	1,235,050	306,823
e)	Total capital	62,073,623	60,609,109	58,165,506	58,128,337	56,449,909	56,839,675
f)	Total risk weighted assets	390,473,465	370,529,016	354,973,671	388,172,273	367,430,410	352,500,442
g)	Core capital/total deposit liabilities	19.0%	19.3%	19.5%	17.9%	18.1%	19.1%
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i)	Excess/(deficiency)	11.0%	11.3%	11.5%	9.9%	10.1%	11.1%
j)	Core capital/total risk weighted assets	15.6%	16.0%	16.3%	14.7%	15.0%	16.0%
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)	5.1%	5.5%	5.8%	4.2%	4.5%	5.5%
m)	Total capital/total risk weighted assets	15.9%	16.4%	16.4%	15.0%	15.4%	16.1%
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)	1.4%	1.9%	1.9%	0.5%	0.9%	1.6%
p)	Adjusted Core Capital/Total Deposit Liabilities	19.7%	20.3%	20.6%	18.6%	19.1%	20.2%
q)	Adjusted Core Capital/Total Risk Weighted Assets	16.1%	16.8%	17.2%	15.2%	15.8%	16.9%
r)	Adjusted Total Capital/Total Risk Weighted Assets	16.5%	17.2%	17.3%	15.5%	16.2%	17.0%
5	Liquidity						
a)	Liquidity Ratio	45.2%	41.1%	38.7%	44.7%	41.5%	38.4%
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c)	Excess/ (deficiency)(a-b)	25.2%	21.1%	18.7%	24.7%	21.5%	18.4%
The financial statements were approved by the Directors on 21st May 2019 and signed on its behalf by:							
Signed: John Murugu ,OGW Chairman				Signed: Dr.Gideon Muriuki, CBS.MBS Group Managing Director & CEO			

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CASHFLOWS AS AT 31 March 2019

	Mar-19 KShs'000	2018 KShs'000
A CASH FLOWS FROM OPERATING ACTIVITIES:-		
Cash generated from / (used in) operating activities	4,627,668	37,103,692
Tax paid	(1,499)	(5,186,165)
Net cash flows from /(used in) operating activities	4,626,168	31,917,527
B CASH FLOWS FROM INVESTING ACTIVITIES:-		
Purchase of property and equipment	(307,446)	(774,340)
Purchase of software	(170,720)	(975,733)
Additional investment in associate	(200,000)	-
Proceeds from disposal of property and equipment	-	6,914
Purchase of held-to-maturity investments	(15,024,206)	(10,868,530)
Maturity of held-to-maturity investments	1,208,400	2,043,371
Net cash flows used in investing activities	(14,493,972)	(10,568,318)
C CASH FLOWS FROM FINANCING ACTIVITIES:-		
Proceeds from borrowings	-	7,638,458
Repayment of borrowings	(242,566)	(8,562,857)
Dividends paid	-	(4,693,744)
Net cash flows from financing activities	(242,566)	(5,618,143)
Net movement in cash and cash equivalents	(10,110,370)	15,731,066
Cash and cash equivalents at the beginning of the year	32,112,688	16,381,622
Cash and cash equivalents at	22,002,318	32,112,688

CO-OPERATIVE BANK OF KENYA LIMITED

STATEMENT OF CHANGES IN EQUITY

	Share Capital	Share Premium	Revaluation Reserve	Statutory Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Proposed Dividends	Retained Earnings	Attributable to equity holder of the parent	Non-Controlling Interest	Total Equity
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
At 1 January 2018	5,867,180	1,911,926	1,296,498	718,617	(733,149)	-	4,693,744	55,329,786	69,084,602	727,983	69,812,585
Impact of adopting IFRS 9 (Note 2(cc))	-	-	-	-	-	-	-	(8,302,566)	(8,302,566)	(159,988)	(8,462,554)
Restated opening balance under IFRS 9	-	-	-	-	-	-	-	47,027,220	60,782,036	567,995	61,350,031
Profit (loss) for the year	-	-	-	-	-	-	-	12,788,882	12,788,882	(56,396)	12,732,486
Other comprehensive income	-	-	10,549	-	294,987	(88,609)	-	-	216,927	(2,666)	214,261
Total comprehensive income	-	-	10,549	-	294,987	(88,609)	-	12,788,882	13,005,809	(59,062)	12,946,747
Transfer of excess depreciation	-	-	(29,150)	-	-	-	-	29,150	-	-	-
Deferred tax on excess depreciation	-	-	-	-	-	-	-	12,493	12,493	-	12,493
Transfer to statutory reserve	-	-	-	291,875	-	-	-	(291,875)	-	-	-
Exchange difference on hyperinflationary economy	-	-	14,838	3,095	-	-	-	277,590	295,523	171,237	466,760
Issue of additional shares	-	-	-	-	-	-	-	-	-	672,927	672,927
2017- Dividends paid	-	-	-	-	-	-	(4,693,744)	-	(4,693,744)	-	(4,693,744)
Proposed dividends	-	-	-	-	-	-	5,867,180	(5,867,180)	-	-	-
At 31 December 2018	5,867,180	1,911,926	1,292,735	1,013,587	(438,161)	(88,609)	5,867,180	53,976,280	69,402,118	1,353,097	70,755,215

Balance at 1 January 2019

Total comprehensive income	5,867,180	1,911,926	1,292,736	1,013,587	(438,162)	(88,609)	5,867,180	53,976,280	69,402,118	1,353,097	70,755,215
Profit for the year	-	-	-	-	-	-	-	3,599,109	3,599,109	18,119	3,617,228
Other comprehensive income	-	-	(94,593)	-	(1,529,979)	88,609	-	-	(1,535,963)	-	(1,535,963)
Realisation of revaluation surplus	-	-	-	-	-	-	-	-	-	-	-
Net movement in revenue grants	-	-	-	-	-	-	-	880,946	880,946	-	880,946
2018- Dividends paid	-	-	-	-	-	-	-	-	-	-	-
Transfers to (from) statutory reserve	-	-	-	(78,073)	-	-	-	78,073	-	-	-
Balance at 31 Mar 2019	5,867,180	1,911,926	1,198,143	935,514	(1,968,141)	-	5,867,180	58,534,408	72,346,210	1,371,216	73,717,426